

1.3 Putting a business idea into practice

Paper 1 / Theme 1 · Edexcel GCSE Business 1BS0

Past-paper question bank for this topic

- **Total questions:** 67
- **Total marks:** 178
- **Sub-topics covered:** 4

By series:

- **Specimen SAMs:** 11 questions
- **June 2019:** 11 questions
- **Nov 2020:** 8 questions
- **Nov 2021:** 9 questions
- **June 2022:** 12 questions
- **June 2023:** 6 questions
- **June 2024:** 10 questions

1.3.1 Business aims and objectives (6 questions)

Specimen SAMs · Paper 1 · Q3(a) · §A

MCQ

1 marks

Which one of the following is an example of a non-financial objective for an entrepreneur starting a new business?

- A. Survival
- B. Profit
- C. Market share
- D. Independence

▼ Mark scheme

D

Explain one possible non-financial aim an entrepreneur may have when starting a small business.

▼ Mark scheme

Award 1 mark for identification of an aim, plus 2 further marks for explaining this aim up to a total of 3 marks. An entrepreneur may wish to gain personal satisfaction from starting a business (1). This is because they may feel that they have achieved something in life (1) which is based on the hard work they put into starting the business (1). A non-financial aim could be independence (1). An entrepreneur is able to make their own decisions when running a business (1) instead of being told what to do as an employee (1). Accept any other appropriate response. Answers that list more than one aim with no explanation will be awarded a maximum of 1 mark.

Evaluate the importance of achieving non-financial objectives for the success of That Feeling. You should use the information provided as well as your knowledge of business.

▼ Mark scheme

Indicative content: The non-financial aims of a business, including independence and personal satisfaction, are important as they often drive the desire of an entrepreneur to start a business (AO1b). It is important for a business to set financial aims and objectives such as profit and market share as without these the business will struggle to survive (AO1b). The non-financial aims of That Feeling stem from Justin's belief that it is important to be passionate and always do the best you can (AO2). That Feeling offer a range of products such as clothing and vintage glasses frames which does indicate that it is aiming to increase the amount of revenue made by the business (AO2). Justin's focus on being the best that he can and helping to mentor others to share in this belief will have a positive effect on the quality of the service that is offered by the business. Customers will recognise this and want to go to the business to get a haircut from the best barbers. Therefore, the financial aims of the business will be taken care of by focusing on the non-financial objectives (AO3a). Survival of a business will not happen if key financial decisions are wrong. That Feeling needs to think carefully about its pricing strategy and has to ensure it has a positive cash flow. Without these the business will fail (AO3a). However, the success of That Feeling will depend on how many customers go to get their haircut at the shop, or buy its clothing. No matter how passionate Justin is, if customers think they are paying too much or do not like the clothes then they will stop using the business. The survival of the business is more closely linked to the business finances so this should be the main focus (AO3b). However, there are a large number of barber shops so competition is high. Justin recognises that That Feeling needs to stand out from the crowd. Competitive advantage will come from the unique nature of the business and the high quality service it offers. The underpinning factor is That Feeling's drive to be the best they can. This therefore is most the most important objective (AO3b). Level 1 (1-4): Elements of knowledge; limited application; limited connections; conclusion supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge; sound application; chains of reasoning; conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge; detailed application; logical chains of reasoning; valid and well-reasoned conclusion based on thorough evaluation.

June 2022 · Paper 1 · Q6(a) · \$B

State 1 marks

State one non-financial aim that Melanie may have had when starting Little Movers.

▼ Mark scheme

Award 1 mark for stating one non-financial aim that Melanie may have had. Social objective to keep children active (1). Personal satisfaction of starting a business as a mother of two children (1). Independence so she could spend school holidays with her children (1). To award 1 mark there must be evidence of application.

June 2023 · Paper 1 · Q4(b) · \$B

Analyse 6 marks

Analyse the impact of non-financial aims on Amelia's decision to start Lili Heating Ltd.

▼ Mark scheme

Indicative content: The challenge of setting up a plumbing business in Birmingham, where competition is high, could be a driving force for Amelia (AO2). Amelia may want to gain more independence after working for someone else for six years (AO2). As a result, she would be determined to succeed as there are very few female business owners in the plumbing industry. This could give her an extra incentive to do well. (AO3a). Therefore, by setting up Lili Heating Ltd she can be her own boss and make her own decisions. She no longer has to carry out repairs on houses for someone else (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2024 · Paper 1 · Q3(a) · \$A

MCQ 1 marks

Which one of the following is a financial aim for a new business?

- A. Challenge
- B. Independence
- C. Personal satisfaction
- D. Survival

▼ Mark scheme

The only correct answer is D - Survival. A is not correct because it is a non-financial aim. B is not correct because it is a non-financial aim. C is not correct because it is a non-financial aim.

1.3.2 Business revenues, costs and profits (28 questions)

Which one of the following is an example of a variable cost?

- A. Rent
- B. Raw materials
- C. Insurance
- D. Advertising

▼ Mark scheme

B

Using the information below calculate the total costs for the business. You are advised to show your workings. Number of units sold: 240. Fixed costs: £1 100. Variable costs per unit: 45 pence

▼ Mark scheme

Substitution into correct formula: Total costs = £1 100 + (240 × 0.45) (1). Answer: £1 208 (1). Award full marks for correct numerical answer without working.

Neil and Sue have produced the following break even diagram, showing the costs and revenue for their business. Figure 3 shows fixed costs (horizontal line at ~£600), variable costs (rising line), total costs (dashed line) and total revenue (dotted line) plotted against number of sales 0-300 with revenue/costs 0-£3000.

Identify the total number of sales that Neil and Sue will need to break even.

▼ Mark scheme

200

Identify the profit made by Meringue, by shading the correct region of the graph in Figure 3.

▼ Mark scheme

Award 1 mark for shading the region where the total revenue line is above the total costs line (as indicated in mark scheme diagram).

State one benefit to Meringue of having a low break even level of output.

▼ Mark scheme

Award 1 mark for stating a benefit to Meringue of having a low break-even level of output. Need to sell fewer sandwiches to make a profit (1). More profit to invest in their website redesign (1). Accept any other appropriate response. Do not accept benefits that would not be appropriate for a small town centre bakery and cafe such as Meringue, for example being able to pay higher dividends to shareholders.

Table 1 contains information about a small business for one month. The business sold 340 units in this month. Fixed costs: £3 600; Variable costs (per unit): £9.

Using the information in Table 1, calculate the total costs for one month. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: Total Costs = £3 600 + (£9 × 340) (1). Answer: £6 660 (1). Award full marks for correct numerical answer without working.

Figure 1 shows information about the financial performance of a business from January to March. January: Revenue £12 000, Total costs £8 000. February: Revenue £14 000, Total costs £10 000. March: Revenue £10 000, Total costs £12 000.

Using the information in Figure 1, calculate the total profit for the period January to March. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: Total Profit = £4 000 + £4 000 - £2 000 (1). Answer: £6 000 (1). Award full marks for correct numerical answer without working.

Last Course Patisserie has the following financial information for the month of April. Raw materials for each dessert: £0.50; Packaging for each dessert: £0.20; Fixed costs: £2 730; Selling price for each dessert: £2.00.

Using the information in Table 2, calculate the level of output required to break-even in April. You are advised to show your workings.

▼ **Mark scheme**

Substitution into correct formula: Break-even output = $\text{£}2\,730 / \text{£}2.00 - (\text{£}0.50 + \text{£}0.20) = 2\,100$ Desserts.
Award full marks for correct numerical answer without working. (2)

Last Course Patisserie - Table 2 financial info. In May suppliers increased the cost of raw materials by 4%.

Using the information in Table 2, calculate the variable cost per dessert following the increase in the cost of raw materials.

▼ **Mark scheme**

Increase in raw materials = $4/100 * \text{£}0.50 = \text{£}0.02$. Variable cost per dessert = $\text{£}0.52 + \text{£}0.20$ (1). Answer: $\text{£}0.72$ (1). Award full marks for correct numerical answer without working.

Which two of the following are examples of variable costs?

- A. Advertising
- B. Insurance
- C. Packaging
- D. Raw materials
- E. Rent

▼ **Mark scheme**

The only correct answers are C - Packaging and D - Raw Materials. A is not correct because it is an example of a fixed cost. B is not correct because it is an example of a fixed cost. E is not correct because it is an example of a fixed cost.

Figure 1 shows the total costs for a business between May and July. May: £10,000; June: £13,000; July: £16,000.

Using the information in Figure 1, calculate the percentage change in total costs between May and July. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(6,000 \div 10,000) \times 100$ (1). Answer: 60% (1). Award full marks for correct numerical answer without working.

On Your Bike has made the following forecasts for the costs and sales of its bikes for 2021. Table 2: Total number of bike sales 2,000; Total revenue £1,100,000; Variable cost per bike £350; Fixed costs £150,000.

Using the information in Table 2, calculate the selling price per bike. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£1,100,000 \div 2,000$ (1). Answer: £550 (1). Award full marks for correct numerical answer without working.

Using the information in Table 2, calculate the profit On Your Bike is forecast to make from selling bikes in 2021. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£1,100,000 - ((£350 \times 2,000) + £150,000)$ (1). Answer: £250,000 (1). Award full marks for correct numerical answer without working.

The owners of On Your Bike want to lower the break even level of output and have decided to do this by reducing costs.

Analyse the impact on On Your Bike of reducing costs in order to lower its break even level of output.

▼ **Mark scheme**

Indicative content: Reducing costs would allow On Your Bike to make more profit per cycle if the average price remained at £550 (AO2). In order to reduce its costs On Your Bike may have to reduce the amount it spends in employing mechanics and sending them on training courses (AO2). As a result, On Your Bike would need to sell fewer cycles in order to cover its fixed costs and therefore break even (AO3a). This may have a negative effect on the excellent customer service at On Your Bike. This would cause lower demand and the business not reaching a lower break-even point (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Which two of the following can be interpreted from a break even diagram?

- A. Insolvency
- B. Margin of safety
- C. Market share
- D. Net cash flow
- E. Profit

▼ **Mark scheme**

B - Margin of safety; E - Profit

Figure 1 shows the sales revenue of a business from January to April. January: £10 300, February: £9 300, March: £6 400, April: £7 200.

Using the information in Figure 1, calculate, to 2 decimal places, the percentage decrease in sales revenue from January to March. You are advised to show your workings.

▼ **Mark scheme**

Substitution into correct formula: $((£6\,400 - £10\,300)/£10\,300) \times 100$ (1). Answer: 37.86% or -37.86% (1). Award full marks for correct numerical answer without working.

State one fixed cost that Sports Tours Ltd will need to pay.

▼ Mark scheme

Award 1 mark for stating one fixed cost that Sports Tours Ltd must pay.

Salaries of the tour operators (1).

Insurance to cover cancellation of tours (1).

Advertising of tours to sports teams (1).

Accept any other appropriate response. Do not accept fixed costs that are not in the context of Sports Tours Ltd. For example, rent for its warehouse.

Which one of the following is an example of a variable cost?

- A. Insurance
- B. Packaging
- C. Rent
- D. Salaries

▼ Mark scheme

The only correct answer is B – Packaging. A is not correct because it is a fixed cost. C is not correct because it is a fixed cost. D is not correct because it is a fixed cost.

Table 1 contains information about a small business for one month. Number of sales: 2,700; Variable costs (per unit): £6; Sales price (per unit): £20; Break even level of output: 1,500.

Using the information in Table 1, calculate the margin of safety. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $2,700 - 1,500$ (1). Answer: 1,200 units (1). Award full marks for correct numerical answer without working.

Explain one way a small business could reduce its variable costs.

▼ Mark scheme

Award 1 mark for identification of a way of reducing variable costs, plus 2 further marks for explaining this way, up to a total of 3 marks. One way to reduce variable costs is to find a cheaper supplier (1). This means a business will pay less for its raw materials (1). This will lead to a lower cost of production for each unit (1). A business could buy its raw materials in bulk (1). Therefore the business may be given a discount by the supplier (1). This could lead to economies of scale for the business (1). Accept any other appropriate response. Answers that list more than one way with no explanation will be awarded a maximum of 1 mark.

Digital Allies is a private limited company. It supports clients to create marketing materials that can be used in a wide range of digital communications. This includes online advertising, web design, and digital data analysis to ensure clients are getting the most from their digital communications. It also offers training to businesses on how they could use social media and digital communication to improve their marketing. The use of social media is something Digital Allies believes is becoming a major influence on how customers interact with businesses. It manages marketing campaigns across Facebook, Twitter, Instagram, Snapchat and LinkedIn. This allows its clients to target a wide range of consumers and to analyse these communications on social media to give businesses a competitive advantage over their rivals. In February 2019, Digital Allies announced a three-year expansion plan which involved doubling its workforce to 40 employees and moving to new offices. The business believed that this move would allow it to employ people with the most up-to-date knowledge and to become one of the main digital marketing companies in the UK. (Source: adapted from <https://digitalallies.co.uk>)

State one source of revenue for Digital Allies.

▼ Mark scheme

Award one mark for stating one source of revenue for Digital Allies. Sales income from web design (1). Fees for attending training courses (1). Consultancy fees from digital marketing campaigns (1). To award 1 mark there must be evidence of application.

Table 1 contains information about a small business. Fixed costs: £10 000; Variable cost: £2.50 per unit; Selling price: £5.00 per unit; Break even level of output: 4,000 units. The business increases the selling price of its product to £6.50 per unit.

Using the information in Table 1, calculate the decrease in the break even level of output. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£10\,000 \div (£6.50 - £2.50) = 2,500$ units. Decrease = $4,000 - 2,500$ (1). Answer: 1,500 units (1). Award full marks for correct numerical answer without working.

Figure 1 shows the number of units sold per month by a business from February to April. The selling price for each unit was £5.20. February: 6,100 units; March: 7,200 units; April: 8,100 units.

Using the information in Figure 1, calculate the revenue for March. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£5.20 \times 7,200$ (1). Answer: £37 440 (1). Award full marks for correct numerical answer without working.

Table 1 contains information for a small business. Fixed costs: £7 500; Variable cost: £2 per unit; Selling price: £6 per unit; Output: 5,000 units.

Using the information in Table 1, calculate the total costs for the small business. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£7\,500 + (5,000 \times £2)$ (1). Answer: £17 500 (1). Award full marks for correct numerical answer without working.

Figure 1 shows the number of units sold by a business each month from June to August. The break even level of output for each month was 5,000. June: 4,300; July: 6,700; August: 6,800.

Using the information in Figure 1, calculate the margin of safety for August. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $6,800 - 5,000$ (1). Answer: 1,800 units (1). Award full marks for correct numerical answer without working.

Table 2 shows how many pairs of trainers were customised by Adikoggz from July to December 2022. July: 52; August: 61; September: 47; October: 34; November: 52; December: 72.

Using the information in Table 2, calculate the average number of trainers customised per month from July to December 2022. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(52+61+47+34+52+72) \div 6$ (1). Answer: 53 pairs (1). Award full marks for correct numerical answer without working.

Using the information in Table 2, calculate, to 2 decimal places, the percentage change in sales from November to December 2022.

▼ Mark scheme

Substitution into correct formula: $(20 \div 52) \times 100$ (1). Answer: 38.46% (1). Award full marks for correct numerical answer without working.

Performance Fitness Centre (PFC) is an independent gym and fitness studio. It has been open for seven years and has over 200 members. Members pay a fee of £39 per month for unlimited access to the gym and fitness classes that take place five days per week. Non-members can also pay to use the gym for each individual session they attend. The gym at PFC is stocked with high specification equipment and weight machines. As a result, it has become very popular with customers interested in maintaining a high level of personal fitness. It has an equal number of male and female customers, but the owner has noticed that there is a lower number of members from people aged over 50. He believes that this may be because they feel out of place amongst the younger membership. Over the past year a new gym that is part of a large national chain has opened nearby. It is much larger and membership fees at the new gym are only £19 per month. PFC has seen a reduction in new members joining the gym and is now considering what it can do to compete with its larger and cheaper rival. Its current members are loyal and enjoy the high quality offered at PFC.

State one example of a fixed cost for PFC.

▼ Mark scheme

Award one mark for stating one fixed cost for PFC. Rent for the gym premises (1). Advertising to attract new members (1). Salaries for gym instructors (1). To award 1 mark there must be evidence of application.

1.3.3 Cash and cash-flow (15 questions)

The table below shows the cash-flow forecast for a small business. Receipts: August 17 400, September 21 770. Raw materials: August 8 050, September 9 340. Fixed costs: August 2 120, September 2 340. Total payments: August 10 170, September (ii). Net cash flow: August (i), September 10 090. Opening balance: August 5 300, September 12 530. Closing balance: August 12 530, September 22 620.

Complete the table with the two missing figures. (i) Net cash flow August.

▼ Mark scheme

7,230. Do not accept any other answer.

Complete the table with the two missing figures. (ii) Total payments September.

▼ Mark scheme

11,680. Do not accept any other answer.

Which one of the following is an example of a cash outflow for a small business?

- A. Bank loan
- B. Personal savings
- C. Raw materials
- D. Receipts

▼ Mark scheme

C - Raw materials (1)

Discuss the importance of cash to the survival of a small business.

▼ Mark scheme

Indicative content: Having access to cash will allow the business to pay its suppliers on time (AO1b). Having a positive net cash flow will prevent insolvency in a small business (AO1b). If a business fails to pay its suppliers on time then they will lose trust and will not allow the business to purchase goods using credit (AO3a). Without cash a business will struggle to pay running costs such as wages and rent. This could cause the business to close down (AO3a). Level 1 (1-2 marks): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4 marks): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6 marks): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Table 1 contains information about cash payments of a small business in one month. The business sold 200 units in this month. All customers paid in cash. Selling price £15; Rent £500; Wages £1,000; Advertising £150.

Using the information in Table 1, calculate the net cash flow for this month. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: Cash inflows = $200 \times £15 = £3,000$. Cash outflows = $£500 + £1,000 + £150 = £1,650$. Net cash flow = $£3,000 - £1,650$ (1). Answer: £1,350 (1). Award full marks for correct numerical answer without working.

On Your Bike is a family owned business that first opened in London in 1983. Its customers include children buying their first bikes and scooters, through to experienced enthusiasts in road cycling and mountain biking. The business offers a wide range of bikes, many imported from abroad. These include high quality brands such as Brompton, Cannondale and Ridgeback. It also stocks a wide range of clothing and helmets including brands such as Endura and Altura. On Your Bike has large workshop facilities in its shop where qualified mechanics maintain and repair all makes of bike. All mechanics go on regular training courses to ensure they keep their skills and knowledge up to date with the latest cycling technology. This allows On Your Bike to offer exceptional customer service and advice. The cycling market has grown over recent years. Market research has shown that an increasing number of tourists like to rent bikes when on holiday. In response to this, On Your Bike operates one of the largest bike rental services in London. Bikes can be hired by the day or week with a choice including road and electric bikes. Figure 2 shows a customer review from a comparison website: Five stars - Reviewed 28 February 2019 - 'Great Service!!! Great customer service, particularly from Miles. They have a great range of bikes for hire too!' - Member: Sydney, Australia.

Outline one reason why cash would be important to On Your Bike.

▼ Mark scheme

Award up to 2 marks for linked points outlining a reason why cash is important to On Your Bike. Award a maximum of 1 mark if points are not linked. Cash will allow On Your Bike to pay its suppliers (1). This may ensure it can continue to stock a wide range of cycles (1). On Your Bike could use cash to pay its employees (1). If it can't pay the mechanics, the correct pay they may leave for another cycle shop (1). Do not accept a reason that would not be appropriate for On Your Bike. For example, cash would be important for buying raw materials.

Explain one drawback to a business of having low levels of cash.

▼ Mark scheme

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks.

A business with low levels of cash may not be able to pay suppliers (1). This would damage relationships with suppliers (1), which means the business may not have sufficient levels of raw materials (1).

A business may not be able to pay its employee wages or salaries (1). This is bad because employees may leave the business to find work elsewhere (1). This will lead to increased labour turnover (1).

Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Table 1 shows the cash-flow forecast for a small business. May - Cash inflows: £12 600, Cash outflows: £8 200, Net cash flow: £4 400, Opening balance: £600, Closing balance: (i). June - Cash inflows: £13 400, Cash outflows: £9 100, Net cash flow: (ii), Opening balance: £5 000, Closing balance: £9 300.

Complete the table with the two missing figures.

▼ Mark scheme

(i) 5 000; (ii) 4 300

That Feeling is a unique barber shop in Potters Bar, Hertfordshire. Its owner, Justin Carr, started the business, aged 25, because of his passion for being a barber. When he left school after his GCSEs he was advised to follow a different career path. However, he wanted to work in a creative industry. This ambition led him to opening a barber shop where his regular customers include England international footballers such as Kyle Walker, Kieran Trippier and Dele Alli. The unique nature of That Feeling not only comes from the high quality haircuts but also from the way it looks after its customers. They can play on arcade games and get drinks whilst waiting for their appointment. The shop also sells That Feeling branded clothes and vintage glasses frames. When asked about his business objectives Justin was very clear that non-financial objectives are crucial. Justin stated: 'It is important to be passionate about what you do and always try to be the best you can. The financial rewards of running a business will come if you get the other things right.' Justin now acts as a mentor to staff members at That Feeling by giving help and advice about their career. Most of the employees are aged between 19 and 22. Justin feels that if they are given the opportunity to develop their skills they will bring new ideas and creativity to the business. (Source: adapted from <https://thatfeeling.co.uk/> and interview with Justin Carr 29/05/2019)

State one example of a cash outflow for That Feeling.

▼ Mark scheme

Award 1 mark for stating one cash outflow for That Feeling.

Rent for the barber shop premises (1).

Raw materials/stock of hair products (1).

The cost of the vintage glasses frames (1).

Accept any other appropriate response. Do not accept an outflow that is not in the context of That Feeling. For example, transport costs.

Which two of the following are examples of cash inflows?

- A. Bank loan
- B. Insurance
- C. Raw materials
- D. Receipts
- E. Wages

▼ Mark scheme

The only correct answers are A – Bank loan and D – Receipts. B is not correct because it is an example of a cash outflow. C is not correct because it is an example of a cash outflow. E is not correct because it is an example of a cash outflow.

Which one of the following is a definition of insolvency?

- A. A product becoming obsolete
- B. Business failure due to unpaid debts
- C. Generating high levels of revenue
- D. Understanding the business environment

▼ Mark scheme

The only correct answer is B – Business failure due to unpaid debts. A is not correct because it is a reason why new business ideas come about. C is not correct because it is a business objective. D is not correct because it is the factors that affects a business.

Figure 1 shows the cash-flow of a business from May to August. Cash inflows: May £3,000; June £5,000; July £6,000; August £5,000. Cash outflows: May £4,000; June £3,000; July £3,000; August £4,000.

Using the information in Figure 1, calculate the total net cash-flow from May to August. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $(£1\ 000) + £2\ 000 + £3\ 000 + £1\ 000$ (1). Answer: £5 000 (1). Award full marks for correct numerical answer without working.

Table 2 shows forecasts from the business plan for month one of Lili Heating Ltd. Cash inflows: £8 600; Cash outflows: £11 000; Opening balance: £4 000.

Using the information in Table 2, calculate Lili Heating Ltd's forecasted closing balance at the end of month one. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $£4\,000 + (£8\,600 - £11\,000)$ (1). Answer: £1 600 (1). Award full marks for correct numerical answer without working.

Which one of the following is a definition of insolvency?

- A. Business failure due to unpaid debts
- B. Credit offered by suppliers
- C. The cost of borrowing money
- D. When two businesses join together

▼ Mark scheme

The only correct answer is A - Business failure due to unpaid debts. B is not correct because it is a definition of trade credit. C is not correct because it is a definition of interest. D is not correct because it is a definition of a merger.

State one example of a cash inflow for Adikoggz.

▼ Mark scheme

Award 1 mark for stating one cash inflow for Adikoggz. Sales from customised trainers (1). Receipts from deep cleaning (1). Capital from Keilan (1). To award 1 mark there must be evidence of application.

1.3.4 Sources of business finance (18 questions)

The cost of the contactless payment system is £4 500. Neil and Sue plan to borrow the money from their bank. They will repay the loan over three years. Their monthly repayment is £136.50.

Calculate the total interest Neil and Sue will pay for this loan as a percentage of the total amount borrowed. You are advised to show your workings.

▼ Mark scheme

Loan = £4,500. Total repayments = $36 \times £136.50 = £4\,914$. Interest = $£4\,914 - £4,500 = £414$. Substitution into correct formula: Total interest = $414/4500 \times 100$ (1). Answer: 9.2% (1). Award full marks for correct numerical answer without working.

Analyse the impact on Meringue of using a bank loan to pay for the contactless payment system.

▼ Mark scheme

Indicative content: The owners of Meringue have a number of priorities, including the development of the website, and therefore need to use some external finance to fund the work, which will increase their costs (AO2). Higher fixed costs will increase the amount of food and drink that needs to be sold to break even (AO2). This will mean that monthly fixed costs for the business will increase, which might affect profitability. However, if the contactless system helps to improve customer experience, Meringue is likely to see increased customer numbers, which will offset the increased costs (AO3a). Neil and Sue need to ensure that the size of the monthly payment does not result in a break-even level of sales that is unrealistic. Competition from local cafes is present and any increase in costs may result in the need to charge higher prices, which could be damaging (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application... Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Which one of the following is an internal source of finance?

- A. Share capital
- B. Loan capital
- C. Sales revenue
- D. Selling assets

▼ Mark scheme

D

Which one of the following is a short-term source of finance?

- A. Retained profit
- B. Share capital
- C. Trade credit
- D. Venture capital

▼ Mark scheme

C - Trade credit (1)

*Aphrodite case study. To pay for the conversion of the premises, Aphrodite is considering two options:
Option 1: obtaining a bank loan; Option 2: crowd funding.*

Justify which one of these two options Aphrodite should choose.

▼ Mark scheme

Indicative content: A loan is an external source of finance which means that the brothers can use retained profit at a later date (AO2). Crowd funding is a source of finance that will not require any interest to be paid when financing the conversion (AO2). Figure 2 shows that interest rates are very low. It makes financial sense to take advantage of this and obtain a loan. The interest rate will be fixed so Aphrodite would continue to benefit from the low rate for the full duration of the loan (AO3a). If no interest is paid on finance then Aphrodite can keep its costs low. This will be beneficial as it goes through a period of change. It is better to use crowd funding to grow the business as it reduces financial risk (AO3a). Despite the previous success of Aphrodite, the bank may be reluctant to provide a loan. Even if the bank agrees it will require financial plans for the expansion and may even ask for security from Aphrodite to secure the loan (AO3b). Aphrodite is expanding the premises for the first time. They may encounter unexpected building problems when they start to convert next-door. If the brothers do not raise enough money through crowd funding then they will not be able to cover any additional costs (AO3b). NB: There are a number of different types of crowdfunding and some candidates may refer to them. These include: 1. Rewards-based crowdfunding 2. Donation-based crowdfunding 3. Equity crowdfunding 4. Debt crowdfunding. Please take this into account when marking this question. Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Which one of the following is an example of an internal source of finance?

- A. Loan capital
- B. Selling assets
- C. Share capital
- D. Stock market flotation

▼ Mark scheme

B - Selling assets (1)

Mind Candy case study. In order to raise the £1.2 million of extra finance needed, Mind Candy considered two options: Option 1: retained profit; Option 2: share capital.

Justify which one of these two options Mind Candy should choose.

▼ Mark scheme

Indicative content: Mind Candy could use the retained profit from its successful game Moshi Monsters to raise the £1.2 million required (AO2). Mind Candy could issue more shares since there may be investors willing to take a risk and purchase these shares considering the company had a global hit game in 2012 (AO2). This is because retained profit involves no borrowing from external sources. Therefore, it is a cheap method of raising the finance required since Mind Candy will not pay interest if it uses this source. As a result, fixed costs may be lower (AO3a). The newly issued shares would be a low-risk method of raising finance for Mind Candy. This is because it would not involve debt or the cash flow commitment of having to repay bank loans with interest at specific points in time. Therefore, Mind Candy can raise the finance needed without increasing the chances of failure (AO3a). However, Moshi Monsters was a global hit in 2012 and the losses made in 2013 suggest that Mind Candy does not have £1.2 million of retained profit left in the form of cash to use. As a result, it is unlikely that this method of raising finance can be used (AO3b). However, since the company made large losses in 2013, Mind Candy would have to issue a large number of shares to raise the extra £1.2 million. This may reduce the percentage ownership of the existing shareholders (AO3b). Level 1 (1-3 marks): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO3b). Level 2 (4-6 marks): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO3b). Level 3 (7-9 marks): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a). Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO3b).

Explain one advantage to a small business of using trade credit as a source of finance.

▼ **Mark scheme**

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Trade credit will allow a small business to buy now and pay later (1). This means the business has a chance to sell the goods before it has to pay its supplier (1). This will improve the cash-flow of the small business (1). Trade credit is a low-cost source of finance (1). If credit terms are met then no interest is charged (1). This will reduce the costs of the small business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Which one of the following is a long-term source of finance?

- A. Overdraft
- B. Revenue
- C. Trade credit
- D. Venture capital

▼ **Mark scheme**

D - Venture capital

In order to raise the finance for its new Chinese factory, Tesla is considering two options: Option 1: share capital. Option 2: loan capital.

Justify which one of these two options Tesla should choose.

▼ **Mark scheme**

Indicative content: Tesla may be forced to issue more shares because it requires so much finance (\$5 billion) (AO2). Banks may be willing to lend Tesla the \$5 billion required because it is planning to produce a car which potentially could sell millions of units worldwide (AO2). This may be a successful share issue since potential shareholders would be willing to take the risk to invest in Tesla due to the potential profits that the Model 3 car would generate if it is successful. Therefore, Tesla should be able to generate the large amount of capital required to fund the expansion (AO3a). This loan would immediately boost cash flow and be a faster source of finance to generate than a share issue, allowing Tesla to build its factory in Shanghai before competitors such as VW and Renault enter the market (AO3a). However, Tesla made a \$976 million loss in 2018 which makes the purchase of shares quite risky. Therefore, the percentage ownership of existing shareholders may be diluted by more than Mr Musk wants, in order to secure the \$5 billion in funding required (AO3b). However, banks may view Tesla as being a high-risk company due to the \$976 million loss it made. As a result, it may charge high interest rates on any loan which may reduce the profitability of Tesla and lead to cash flow difficulties (AO3b). Level 1 (1-3): Limited application; simple justification. Level 2 (4-6): Sound application; sound justification. Level 3 (7-9): Detailed application; clear justification based on thorough evaluation.

Explain one disadvantage to a small business of using an overdraft as a source of business finance.

▼ **Mark scheme**

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Overdrafts can be an expensive source of finance (1). The bank may charge a high rate of interest for the overdraft facility (1). This will lead to an increase in costs for the business (1). Overdrafts cannot be used for long-term financial projects (1). This will prevent a business from using the overdraft to fund investment (1). Therefore, the business may struggle to finance long-term growth (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

When starting the business in 2007, Melanie took out a loan. The financial details of this loan are in Table 2. Loan required from the bank: £10,000; Total repayments for loan: £11,100; Length of loan: 3 years.

Using the information in Table 2, calculate the interest on the loan as a percentage of the total amount borrowed. You are advised to show your workings.

▼ **Mark scheme**

Substitution into correct formula: $((£11\ 100 - £10\ 000) \div £10\ 000) \times 100$ (1). Answer: 11% (1). Award full marks for correct numerical answer without working.

Using the information in Table 2, calculate, to 2 decimal places, the monthly repayments for the loan. You are advised to show your workings.

▼ **Mark scheme**

Substitution into correct formula: $£11\ 100 \div 36$ (1). Answer: £308.33 (1). Award full marks for correct numerical answer without working.

Discuss the impact on a company of using retained profit as a source of finance for expansion.

▼ **Mark scheme**

Indicative content: Retained profit is often not large enough to be able to fund the expansion plans of a business (AO1b). This may mean that the business does not have to use other sources of finances such as share capital (AO1b). Therefore, other sources of finance will also need to be used to fund the expansion plans which will either increase fixed costs (bank loans) or dilute the ownership of existing shareholders (share capital) (AO3a). Therefore, by using retained profit there would be no need to dilute the ownership of existing shareholders (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Explain one advantage to a small business from using retained profit as a source of finance.

▼ Mark scheme

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. Retained profit is a cheap source of finance (1). This is because interest is not paid on retained profit (1). Therefore, the business would not experience an increase in costs (1). Retained profit does not dilute the ownership of the business (1). This is because the owner(s) keep full control of all decisions made since no new shares are issued (1). This may lead to decisions being made quicker in the business (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage to a business of using loan capital as a source of finance.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Interest will have to be paid on the loan (1). Therefore, the fixed costs of the business will increase (1). As a result, the profit of the business may fall (1). The loan will have to be repaid (1). Therefore, the business will incur larger cash outflows (1). As a result, the business may be at a greater risk of insolvency or cash-flow problems (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Explain one disadvantage to a small business from using retained profit for expansion.

▼ Mark scheme

Award 1 mark for a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Retained profit may not be sufficient (1). This is because a small business may not generate any profit (1). Therefore, there would not be enough funds for expansion (1). Retained profit will not be available for other uses in the business (1). Once it has been used it cannot be used again (1). Therefore, the business may have to use more expensive sources of finance in the future (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

*To help prevent cash-flow problems Adikoggz is considering two options as a short-term source of finance:
Option 1: an overdraft from the bank. Option 2: trade credit from suppliers.*

Justify which one of these two options Adikoggz should choose.

▼ **Mark scheme**

Indicative content: Arranging an overdraft would provide a source of cash should there be months where there is low demand for its customised trainers (AO2). Obtaining trade credit allows Adikoggz to buy new trainers and then pay for them at a later date (AO2). During months when there is less demand Adikoggz will still have running costs such as paying the wages of the four employees. If there is not as many cash inflows during these months, then an overdraft can be used to help support the business until demand increases again (AO3a). This will help with the cash-flow because it allows Adikoggz to customise and sell the trainers, and receive payment before they must pay the suppliers. This could therefore lead to less risk when buying new stock of expensive sports shoes (AO3a). However, overdrafts can be an expensive source of finance as interest will be charged. This is an additional cost for Adikoggz. If it relies on the overdraft too much, then this could indicate that the business needs to seek alternative sources of cash inflows from sports footwear (AO3b). However, Adikoggz is only a small business. It is not likely to be buying large amounts of stock. Suppliers such as Adidas may not be willing to offer trade credit to a business placing such small orders (AO3b). Level 1 (1-3): Limited application, simple justification. Level 2 (4-6): Sound application, justification based on sound evaluation. Level 3 (7-9): Detailed application throughout, clear justification based on thorough evaluation.